NOTE 13 - INCOME TAXES

Since Inception, our executive offices and operations have been located in British Columbia. As such, we filed the appropriate Canadian income tax returns for prior years. As a result of the November 12, 2010 merger, we now are under U.S. Federal tax jurisdiction. During the year ending December 31, 2010, we became subject to filing a Canadian tax return and a U.S. Federal tax return. We have identified our U.S. Federal tax return as our "major" tax jurisdiction. The Company has had losses to date, and therefore, has paid no income taxes.

Deferred income taxes arise from temporary timing differences in the recognition of income and expenses for financial reporting and tax purposes. The Company's deferred tax assets consist entirely of the benefit from net operating loss carry-forwards. Effective November 12, 2010, prior net operating loss carry forwards from the prior business of Sea2Sky are no longer available to the Company, due to the Company's change in control.

Any future net operating losses, based on operations of the renewable energy business, will be considered for NOL carry-forward. For federal tax purposes this carry forward expires in twenty years, beginning in 2027. A full valuation allowance has been placed on the Company's deferred tax assets as it cannot be determined if these tax assets will be likely be used. All years from Inception, including those presented below, remain open tax years as the Company has not undergone a tax audit.

The benefit for income taxes relates to the flow-through shares issued which utilized net operating losses for income tax reporting purposes. The flow through shares generated a current income tax benefit as reflected in the accompanying statements of operations and comprehensive loss; no provision (benefit) for deferred income taxes was recorded.

Subsequent to November 2010, and for the foreseeable future, the Company's Canadian combined federal and provincial income tax rate is 26.5%, because ecoTECH (Canada) ceased to be a Canadian Controlled Private Corporation ("CCPC"). Prior to November 12, 2010 ecoTECH Canada was eligible for the reduced CCPC income tax rate of 13.5%. Applicable statutory income tax rates for the Company's operations in the United States are estimated at 34% for calculation purposes.

Deferred income taxes arise from temporary differences in the recognition of income and expenses for financial reporting and tax purposes. The Company's deferred tax assets consist primarily of net operating loss carry forwards since Inception. For federal tax purposes this carry forward expires in twenty years, beginning in 2027. A full valuation allowance has been placed on the Company's deferred tax assets as it cannot be determined if the assets will be likely be used. All years from Inception, including those presented below, remain open for examination and there are no ongoing examinations.

The significant components of future income tax assets are as follows:

	December 31, 2011	December 31, 2010
Non-capital loss carry-forwards	$ 706,651	$ 391,961
Property, plant and equipment	12,006	14,110
Deferred tax assets	718,657	406,071
Valuation allowance - including applicable income tax rate change	(718,657)	(406,071)
Net deferred tax asset (liability)	$ --	$ --

The Company has net operating loss carry-forwards as detailed below:

	December 31, 2011
Year of Expiration:	
2027	$ 78,041
2028	784,038
2029	423,269
2030	701,025
2031	680,236
Total	$ 2,666,609

The Company's reconciliation of the statutory income tax rate and effective income tax rate for financial reporting purposes is as follows:

	Year Ended December 31, 2011	Year Ended December 31, 2010
Income tax benefit at combined statutory rates of 26.5% (2010 - 13.5%)	$1,306,223	$2,596,444
Stock-based compensation	(890,305)	(2,399,531)
Change in valuation allowance	(312,586)	(218,950)
Other	(68,685)	39,510
Total	$ 34,647	$ 17,473